North Slope Borough, Alaska: GO Bonds, Series 2022A, 2022B and 2022C

$94,485,000 | Final official statement dated October 26, 2022 (220 pages) | Written by the official-statement-reader skill, run in Claude Code and machine-checked

> Checked: 36/36 claims passed by scripts/check_citations.py. Each quote was found on its cited page, and every number in a line appears in its quotes. Calculated figures show their arithmetic.

DEAL AT A GLANCE

- A1 North Slope Borough, Alaska is selling three series of general obligation bonds: $71,530,000 Series 2022A (General Purpose), $9,165,000 Series 2022B (Schools) and $13,790,000 Series 2022C (Public Housing). (p. 1, PDF 7)
- A2 Total par across the three series is $94,485,000. [calc: 71,530,000 + 9,165,000 + 13,790,000 = 94,485,000] (p. 1, PDF 7)
- A3 The final official statement is dated October 26, 2022. Delivery is expected on or about November 15, 2022. (cover, PDF 1)
- A4 KeyBanc Capital Markets Inc. is the underwriter and has agreed to buy all three series, subject to conditions. (p. 13, PDF 19)
- A5 Working group: JD Capital Markets LLC (Seattle) is municipal advisor, Hawkins Delafield & Wood LLP is bond and disclosure counsel, Orrick, Herrington & Sutcliffe LLP is underwriter's counsel, and The Bank of New York Mellon Trust Company, N.A. is paying agent and registrar. (p. 12, PDF 18; cover, PDF 1)

SECURITY AND PURPOSE

- B1 Unlimited-tax GO pledge: the Borough pledges its full faith and credit and must levy property taxes without limit as to rate or amount to pay the bonds. (p. 3, PDF 9)
- B2 The Borough's Permanent Fund (about $961.8 million on June 30, 2022) cannot be used to pay debt service. (p. 3, PDF 9; p. A-1-7, PDF 33)
- B3 Alaska municipalities can't currently file for Chapter 9 bankruptcy, and Borough Code requires all oil and gas property taxes to go to a debt service account. (p. 3, PDF 9)
- B4 Voters approved the bond ordinances on October 4, 2022, and the Assembly adopted the authorizing resolution on October 11, 2022. (p. 1, PDF 7)
- B5 Proceeds fund capital projects under ten bond ordinances authorizing $101,970,000, led by water facilities ($22,470,000), general capital projects ($20,745,000) and public housing ($14,395,000). (p. 4, PDF 10)

STRUCTURE

- C1 All maturities carry 5.00% coupons. Serial maturities run 2023 to 2033: 2022A matures 2026 to 2029, 2022B 2023 to 2033, and 2022C 2023 to 2026. (inside cover, PDF 2)
- C2 Yields run from 3.230% in 2023 to 3.920% in 2033. The large 2022A maturities price at 3.440% (2026) to 3.600% (2029). (inside cover, PDF 2)
- C3 No call: the bonds are not subject to redemption before maturity. (p. 2, PDF 8; cover, PDF 1)
- C4 Interest is paid June 30 and December 30, starting June 30, 2023. Denominations are $5,000. (p. 1, PDF 7)
- C5 Tax-exempt and not an AMT preference item. For tax years after December 31, 2022, interest counts toward adjusted financial statement income for certain corporations subject to the AMT. (p. 9, PDF 15)
- C6 Debt service on this issue totals $118,388,406. It peaks at $24,653,750 to $25,663,250 a year in fiscal 2027 to 2029, then falls to $1,134,000 by 2033. (p. 7, PDF 13)

RATINGS

- D1 The 2022 Bonds are rated AA by S&P, AA by Fitch and AA+ by Kroll. (p. 13, PDF 19)
- D2 **Look-alike.** The Moody's Aa2 listed in the audited financial statements (Appendix D) is not a rating on these bonds. The Ratings section names only S&P, Fitch and Kroll. (p. D: 15, PDF 106; p. 13, PDF 19)

SOURCES AND USES

- E1 Sources are par plus original issue premium of $5,115,226.50 (2022A), $649,515.40 (2022B) and $423,433.75 (2022C). (p. 4, PDF 10)

- E2 Uses are deposits to the capital projects funds ($76,136,000.00, $9,749,000.00 and $14,115,000.00) and costs of issuance ($509,226.50, $65,515.40 and $98,433.75). Costs of issuance include the underwriter's discount. (p. 4, PDF 10)
- E3 Underwriter's discount totals $187,622.30 across the three series, about $1.99 per $1,000 of par. [calc: 142,039.72 + 18,199.28 + 27,383.30 = 187,622.30; 187,622.30 / 94,485 (par in thousands) = 1.99] (p. 13, PDF 19)

CREDIT POINTS TO CHECK

- F1 After this issue the Borough will have $296,580,000 of GO bonds outstanding and no authorized but unissued GO bonds. (p. 5, PDF 11)
- F2 Net GO debt is 1.35% of the $21,982,877,719 assessed value as of January 1, 2022, or $18,655 per resident (population 15,898). (p. 6, PDF 12)
- F3 The tax base is almost all oil and gas: about 95% of assessed value. Hilcorp/Harvest (36.5%) and ConocoPhillips (31.6%) pay over two-thirds of the levy, and the top ten taxpayers pay 94.4%. (p. 6, PDF 12; p. A-1-17, PDF 43)
- F4 The tax falls on oil and gas property, not production, so oil prices and output affect the base only indirectly. (p. A-1-4, PDF 30)
- F5 Taxes levied for GO debt service sit outside the statutory and Charter tax limits. (p. A-1-13, PDF 39)
- F6 Collections are steady: 99.55% of the FY 2021 levy was collected in the current year, at a 17.99 mill rate. (p. A-1-14, PDF 40)
- F7 $4,889,000 of 2022A proceeds go to the Barrow Seawall Project, where the Borough's share is currently 35%, about $174 million of an estimated $497 million. (p. A-1-31, PDF 57)

COMP PROFILE

- G1 Size: $94,485,000 total, in series of $71,530,000, $9,165,000 and $13,790,000. [calc: 71,530,000 + 9,165,000 + 13,790,000 = 94,485,000] (p. 1, PDF 7)
- G2 Maturities: serial 2023 to 2033, with the weight in the 2022A maturities of 2027 ($20,250,000), 2028 ($21,810,000) and 2029 ($23,360,000). (inside cover, PDF 2)
- G3 Tax status: all three series are tax-exempt, with no taxable piece, so the comps are tax-exempt. (p. 9, PDF 15)
- G4 Sale method: KeyBanc, as underwriter, buys each series at a set purchase price. The OS has no notice of sale or bid results. (p. 13, PDF 19)
- G5 State: Alaska. It isn't one of the states that trade on their own curve (California and New York, for example), so the comp pool is national. (p. 1, PDF 7)
- G6 Ratings: AA (S&P), AA (Fitch) and AA+ (Kroll), so look at comps rated about AA- to AA+ and widen if the list is thin. (p. 13, PDF 19)
- G7 Security: unlimited-tax GO. GO comps come first, but a revenue deal of similar size and maturities can still work. (p. 3, PDF 9)
- G8 Call terms: none. These bonds can't be redeemed early, so record each comp's call terms, since a callable comp isn't a like-for-like yield. (p. 2, PDF 8)

> Search this implies (EMMA or the desk's own platform): negotiated, tax-exempt new issues that priced the same week, of similar size (about $94.5 million) and maturities (2023 to 2033, weighted to 2027 to 2029), rated about AA- to AA+, outside the states that trade on their own curve, GO first. Then open each candidate's official statement and confirm its maturity schedule before it goes in the comp set.

NOT IN THIS DOCUMENT

- **Pricing date and order period.** Cover and Underwriting (p. 13) give the OS date and purchase prices only.
- **Spreads to MMD or another benchmark.** The OS gives coupons and yields (inside cover), not spreads. The benchmark is licensed data, so the comp set leaves spreads blank.
- **Takedown and other parts of the underwriter's discount.** Underwriting (p. 13) gives the total discount per series only.

EVIDENCE: THE QUOTE BEHIND EVERY LINE

Line	Page	Exact text on that page
A1	p. 1, PDF 7	the sale of its $71,530,000 North Slope Borough, Alaska, General Obligation Bonds, Series 2022A (General Purpose)
	p. 1, PDF 7	its $9,165,000 North Slope Borough, Alaska, General Obligation Bonds, Series 2022B (Schools)
	p. 1, PDF 7	its $13,790,000 North Slope Borough, Alaska, General Obligation Bonds, Series 2022C (Public Housing)
A2	p. 1, PDF 7	the sale of its $71,530,000 North Slope Borough
A3	cover, PDF 1	October 26, 2022
	cover, PDF 1	on or about November 15, 2022
A4	p. 13, PDF 19	KeyBanc Capital Markets, Inc. (the "Underwriter"), has agreed, subject to certain conditions precedent, to purchase the 2022A Bonds
A5	p. 12, PDF 18	The Borough has utilized the services of JD Capital Markets LLC, Seattle, Washington, as municipal advisor
	cover, PDF 1	Hawkins Delafield & Wood LLP, Disclosure Counsel to the Borough
	cover, PDF 1	passed upon for the Underwriter by its counsel, Orrick, Herrington & Sutcliffe LLP
	cover, PDF 1	The Bank of New York Mellon Trust Company, N.A., San Francisco, California, as Paying Agent and Registrar
B1	p. 3, PDF 9	the full faith and credit of the Borough are pledged to the payment of the principal of and interest on the 2022 Bonds
	p. 3, PDF 9	without limitation as to rate or amount
B2	p. 3, PDF 9	The Borough's Charter prohibits the use of the Borough's Permanent Fund and income transferred from the Permanent Fund to the General Fund to pay debt service on the 2022 Bonds
	p. A-1-7, PDF 33	On June 30, 2022, the value of the Permanent Fund was approximately $961.8 million.
B3	p. 3, PDF 9	are not currently authorized by state law to file for voluntary bankruptcy under Chapter 9 of the United States Bankruptcy Code
	p. 3, PDF 9	all oil and gas property taxes levied under AS 29.45.100 are required to be appropriated to a debt service account within the General Fund
B4	p. 1, PDF 7	approved by the qualified voters of the Borough at an election held on October 4, 2022
	p. 1, PDF 7	adopted by the Borough Assembly on October 11, 2022
B5	p. 4, PDF 10	2022-05 Water Facilities 22,470,000
	p. 4, PDF 10	2022-11 General Capital Projects 20,745,000
	p. 4, PDF 10	2022-04 Public Housing 14,395,000
	p. 4, PDF 10	TOTAL: $101,970,000
C1	inside cover, PDF 2	2026 $ 6,110,000 5.00% 3.440% 662523P78
	inside cover, PDF 2	2029 23,360,000 5.00 3.600 662523Q28
	inside cover, PDF 2	2023 $ 420,000 5.00% 3.230% 662523Q36
	inside cover, PDF 2	2033 1,080,000 5.00 3.920 662523R50
	inside cover, PDF 2	2023 $5,200,000 5.00% 3.230% 662523R68
	inside cover, PDF 2	2026 3,380,000 5.00 3.440 662523R92
C2	inside cover, PDF 2	2023 $ 420,000 5.00% 3.230% 662523Q36
	inside cover, PDF 2	2033 1,080,000 5.00 3.920 662523R50
	inside cover, PDF 2	2026 $ 6,110,000 5.00% 3.440% 662523P78
	inside cover, PDF 2	2029 23,360,000 5.00 3.600 662523Q28

C3	p. 2, PDF 8	The 2022 Bonds are not subject to redemption prior to maturity.
	cover, PDF 1	The 2022 Bonds are not subject to redemption prior to their stated maturity dates.
C4	p. 1, PDF 7	Interest on the 2022 Bonds will be payable on each June 30 and December 30, commencing on June 30, 2023.
	p. 1, PDF 7	denominations of $5,000
C5	p. 9, PDF 15	interest on the 2022 Bonds is excluded from gross income for Federal income tax purposes
	p. 9, PDF 15	however for tax years beginning after December 31, 2022, interest on the Series 2022 Bonds is included in the "adjusted financial statement income" of certain corporations
C6	p. 7, PDF 13	$13,790,000 $1,374,188 $118,388,406
	p. 7, PDF 13	2027 4,515,000 562,250 5,077,250 20,250,000 3,271,000 805,000 327,750 24,653,750
	p. 7, PDF 13	2029 1,505,000 220,300 1,725,300 23,360,000 1,168,000 890,000 245,250 25,663,250
	p. 7, PDF 13	2033 1,080,000 54,000 1,134,000 1,134,000
D1	p. 13, PDF 19	S&P Global Ratings ("S&P") has rated the 2022 Bonds "AA"; Fitch Ratings Inc. ("Fitch") has rated the 2022 Bonds "AA" and Kroll Bond Rating Agency, Inc. ("Kroll") has rated the 2022 Bonds "AA+."
D2	p. D: 15, PDF 106	Moody's Investors Service Aa2
	p. 13, PDF 19	Such ratings reflect only the views of S&P, Fitch and Kroll.
E1	p. 4, PDF 10	Original issue premium 5,115,226.50 649,515.40 423,433.75
E2	p. 4, PDF 10	Deposit to Capital Projects Funds 76,136,000.00 9,749,000.00 14,115,000.00
	p. 4, PDF 10	Costs of issuance(1) 509,226.50 65,515.40 98,433.75
	p. 4, PDF 10	Underwriter's discount; and other costs related to issuance of the 2022 Bonds.
E3	p. 13, PDF 19	less underwriter's discount of $142,039.72
	p. 13, PDF 19	less underwriter's discount of $18,199.28
	p. 13, PDF 19	less underwriter's discount of $27,383.30
F1	p. 5, PDF 11	Total Outstanding General Obligation Bonds $296,580,000
	p. 5, PDF 11	The Borough will have no authorized but unissued general obligation bonds immediately after the issuance of the 2022 Bonds.
F2	p. 6, PDF 12	Net General Obligation Debt as a Percentage of Assessed Valuation 1.35%
	p. 6, PDF 12	Assessed Valuation as of January 1, 2022(2), (4) $21,982,877,719
	p. 6, PDF 12	Net General Obligation Debt Per Capita (4) $18,655
	p. 6, PDF 12	Population as of January 18, 2022(3) 15,898
F3	p. 6, PDF 12	approximately 95% ($21.0 billion) of the January 1, 2022 total $22.0 Billion Assessed Value is from oil and gas industry companies
	p. A-1-17, PDF 43	Hilcorp/Harvest Oil and Gas Producer $8,028,978,070 $144,441,315 36.5%
	p. A-1-17, PDF 43	Conoco Phillips AK Co Oil and Gas Producer 6,941,462,750 124,876,915 31.6
	p. A-1-17, PDF 43	Total Top Taxpayer Levy $20,755,395,944 $373,389,573 94.4%
F4	p. A-1-4, PDF 30	the sales price and level of production of oil and gas do not directly affect the Borough's property tax base
F5	p. A-1-13, PDF 39	property taxes levied or pledged to pay or secure the payment of the principal and interest on general obligation bonds are not subject to the limitations described above
F6	p. A-1-14, PDF 40	FY 2017 FY 2018 FY 2019 FY 2020 FY 2021
	p. A-1-14, PDF 40	Millage Rate 17.99 17.99 17.99 17.99 17.99
	p. A-1-14, PDF 40	Percent of Levy Collected 99.38% 99.34% 99.62% 99.23% 99.55%
F7	p. A-1-31, PDF 57	$4,889,000 of the proceeds of the 2022A Bonds will be applied to acquire easements required for, and pay other costs of, the Barrow Seawall Project

	p. A-1-31, PDF 57	The Borough's share of the cost of the Barrow Seawall Project is currently 35% or approximately $174 million
	p. A-1-31, PDF 57	approximately $497 million with an expected completion date of 2028/29
G1	p. 1, PDF 7	the sale of its $71,530,000 North Slope Borough
	p. 1, PDF 7	its $9,165,000 North Slope Borough
	p. 1, PDF 7	its $13,790,000 North Slope Borough
G2	inside cover, PDF 2	2023 $ 420,000 5.00% 3.230% 662523Q36
	inside cover, PDF 2	2033 1,080,000 5.00 3.920 662523R50
	inside cover, PDF 2	2027 20,250,000 5.00 3.490 662523P86
	inside cover, PDF 2	2028 21,810,000 5.00 3.560 662523P94
	inside cover, PDF 2	2029 23,360,000 5.00 3.600 662523Q28
G3	p. 9, PDF 15	interest on the 2022 Bonds is excluded from gross income for Federal income tax purposes
G4	p. 13, PDF 19	has agreed, subject to certain conditions precedent, to purchase the 2022A Bonds, if any are purchased, at a price of $76,503,186.78
G5	p. 1, PDF 7	provides information relating to the North Slope Borough, Alaska (the "Borough")
G6	p. 13, PDF 19	S&P Global Ratings ("S&P") has rated the 2022 Bonds "AA"; Fitch Ratings Inc. ("Fitch") has rated the 2022 Bonds "AA" and Kroll Bond Rating Agency, Inc. ("Kroll") has rated the 2022 Bonds "AA+."
G7	p. 3, PDF 9	without limitation as to rate or amount
G8	p. 2, PDF 8	The 2022 Bonds are not subject to redemption prior to maturity.

Source: the public official statement on MSRB EMMA. Page numbers are the printed page, then the PDF page. Quotes are whitespace-normalized; nothing else is changed.